IN THE NATIONAL COMPANY LAW TRIBUNAL
BENGALURU BENCH

C.P. (CAA) No. 01/BB/2018
Under Section 230 to 232 of the Companies Act, 2013
Order delivered on: 9th April, **2018**

Coram: Hon'ble Shri Ratakonda Murali, Member (Judicial)
Hon'ble Shri Ashok Kumar Mishra, Member (Technical)

IN THE MATTER OF SECTIONS 230 AND 232 OF COMPANIES ACT, 2013
AND
IN THE MATTER OF AMALGAMATION OF
TAYANA DIGITAL PRIVATE LIMITED
WITH
JUPITER CAPITAL PRIVATE LIMITED

Jupiter Capital Private Limited
Jupiter Innovision Centre
#54, Richmond Road
Bengaluru-560025 - **Petitioner / Transferee Company**

Parties Present :
1. Mr. Saji P. John, Sr. Advocate, M/s. SPJ Legal Unit No.1002, 10th Floor, #30, Prestige Meridian II, M.G Road, Bangalore 560001
2. Smt. M.R Sinchana, Standing Counsel for ROC, Karnataka and R.D

Per: **Hon'ble Shri Ashok Kumar Mishra, Member (Technical)** – Author

Heard on: 11.01.2018, 26.02.2018, 21.03.2018 and 26.03.2018

O R D E R

The Petitioner Company has sought sanction of Scheme of Amalgamation of Tayana Digital Private Limited, falling under the jurisdiction of NCLT, Mumbai Bench with Jupiter Capital Private Limited. **Tayana Digital Private Limited** is the **Transferor Company** while the Petitioner **Jupiter Capital Private Limited** is the **Transferee Company.** The Scheme of Amalgamation provides for the amalgamation of Tayana Digital Private Limited (TDPL) with Jupiter Capital Private Limited (JC) and their respective shareholders and creditors, pursuant to the provisions of Sections 230 and 232 of the Companies Act, 2013.

The averments made in the Company Application are briefly described hereunder:-

The Petitioner Company was originally incorporated on 29th March 2004 under the name and style "Jupiter Capital Advisors Private Limited" with the Registrar of Companies, Karnataka, Bangalore under the provisions of Companies Act, 1956. The name of the Petitioner Company was subsequently changed to **Jupiter Capital Private Limited** with effect from 12th June, 2006 having CIN No. **U67120KA2004PTC033653,** having its Registered Office at No. 54, Richmond Road, Bangalore 560025, Karnataka.

The petition is filed by the Petitioner Company to obtain sanction of this Hon'ble Tribunal to the Scheme of Amalgamation of Tayana Digital Private Limited (Transferor Company) with Jupiter Capital Private Limited (Transferee Company). The Scheme of Amalgamation is produced herewith and marked as **Annexure-A.**

The Petitioner Company/Transferee Company is a systemically important Non-Deposit Accepting Non-Banking Finance Company which is primarily an investment and loan Company. Besides this, the Petitioner Company is also in the business of Air Charter. An up to date copy of Memorandum and Articles of Association of the Transferee Company is enclosed and marked as **Annexure-B.**

The Authorised, Issued, Subscribed and Paid-up share capital of the Petitioner Company (Transferee Company) as on 31st March, 2017, was as follows:

Authorised Capital	**Amount Rs.**
4,60,00,000 Equity Shares of Rs. 10/- each	46,00,00,000
Issued, Subscribed and Paid-up Capital	**Amount Rs.**
50,19,720 Equity Shares of Rs. 10/- each fully paid-up	5,01,97,200

There is no change in the authorised, issued, subscribed and paid-up share capital of the Petitioner Company from 31st March, 2017 to the date of filing of this petition.

The Main Objects of the Applicant/Transferee Company as set out in its Memorandum of Association inter alia includes, as follows:

i) To carry on the business as a Finance and Investment Company and to engage in promotion of Companies by participating in or to provide finance and to make investments in any form whatsoever including financing for industrial undertakings housing and making investments in shares, stocks, securities, bonds or other securities.

ii) To acquire and provide on lease or hire-purchase basis or on deferred payment basis or any other basis all types of plant equipment machinery vehicles consumer durables and real estates and any other movable and immovable properties whether in India or abroad for industrial services, commercial or other uses.

iii) To establish and carry on the business of merchant banking, financial services including underwriting managing public issues of shares, debentures and other securities of limited companies, custodial and registry services, bill discounting, factorizing of debt, financial advisory services, credit and foreign exchange management, forex dealings and advisory services, arrangement and procurement of loans from banks and financial institutions in India and abroad, arrange inter-corporate deposits, loan syndication and to promote establish finance or in any other manner support or encourage establishment of industrial enterprises or companies engaged in industrial, financial and trading activities.

iv) To manage funds of Investors by investment in various avenues like income Fund, Risk Fund, Tax Exempt Funds, Pensions/Superannuation Funds and to pass on the benefits of portfolio investments to the investors as dividends, bonus, interest, etc. and to provide a complete range of personal financial services like investment planning, estate planning, tax planning, tax planning, portfolio management, consultancy/counseling services.

As per the audited balance sheet made up to 31st March, 2017, the summarized position of the assets and liabilities of the Petitioner/Transferee Company was as follows:

Liabilities	Amount Rs.	Asset	Amount Rs.
Share Capital	5,01,97,200	Fixed Assets	155,53,65,468
Reserves and Surplus	1341,32,54,885	Non-Current Investments	1030,82,95,581
Non-Current Liabilities & Provisions	119,82,77,261	Long-term Loans & Advances	146,12,46,391
		Other Non-Current Assets	21,41,03,784
Current Liabilities & Provisions	279,02,28,557	Current Assets	391,29,46,679
Total	1745,19,57,903	Total	1745,19,57,903

A copy of the said Audited Balance Sheet is enclosed herewith and marked as **Annexure-C.** The provisional Balance Sheet dated 30.11.2017 is enclosed and marked as **Annexure-C1.**

Tayana Digital Private Limited (Transferor Company) was originally incorporated on 13th March, 2008 under the name and style "Tayana Digital Private Limited" (TDPL) with the Registrar of Companies, Karnataka at Bangalore. TDPL is a subsidiary of JC in which JC holds 67.64%. The balance 32.36% of TDPL is held by Hindustan Infrastructure Global Investments, Mauritius (HIGI Mauritius). HIGI Mauritius is a wholly owned subsidiary of Hindustan Infrastructure Projects & Engineering Private Limited (HIPE) which in turn is a wholly owned subsidiary of JC. JDPL was incorporated on 13th March, 2008 and is engaged in the business of software development and its related services. The Registered Office of the Transferor Company was subsequently changed to 1-B Ground Floor, Gold Coin Premises, Opposite Sobo Central, 35/23A, Tardeo Road, Tardeo, Mumbai 400 034 with the Registrar of Companies, Maharashtra, Mumbai vide fresh certificate of incorporation dated 9th October, 2017. The Transferor Company is engaged in the business of software development and its related services. An up-to-date copy of the Memorandum and Articles of Association of the Transferor Company is enclosed and marked as **Annexure-D.**

The authorised, issued, subscribed and paid-up share capital of the Transferor Company as on 31st March, 2017 was as follows:

Authorised Capital	**Amount Rs.**
10,00,000 equity shares of Rs. 10/- each	1,00,00,000
Issued, Subscribed and Paid-up Capital	**Amount Rs.**
10,00,000 equity shares of Rs. 10/- each fully paid up	1,00,00,000

The main objects of the Transferor Company as set out in its Memorandum of Association are, inter alia, as follows:

a. To carry on the business of Engineering Design Services through development of, Designs to specifications, Design Automation, Drafting & 3D modeling, Engineering Analysis and Plant Design Engineering and to act as Engineering Design Consultants both in India and abroad. To undertake the designing and development of systems and application software either for its own use or for sale in India or for export outside India and to design and develop such systems and application software for or on behalf of manufacturers, owners and users of computer systems, and all applications in aircrafts, aviation, avionics etc.

b. To carry on the business of providing an array of consultancy & advisory solutions and services to offer design, market, import, export, promote, operate, develop and delivery software solutions, development and services to each and every type of organization in India and abroad, in all its forms including operation of technical services, networking services, system integration services, on-site and off-shore consultancy services and allied services like programming, design, development, hosting, licensing, installation, servicing, maintenance, research and development, integration, solutions, sale, export, import, distribution, marketing or to work upon or to generally deal in software, etc.

As per the audited balance sheet made up to 31st March, 2017, the summarized position of the assets and liabilities of the Transferor Company was as follows:

Liabilities	Amount Rs.	Asset	Amount Rs.
Share Capital	1,00,00,000	Non-current Assets	67,80,39,409
Reserves and Surplus	15,95,53,804	Current Assets	5,52,245
Non-Current Liabilities	75,00,000		
Current Liabilities & Provisions	50,15,37,850		
Total	67,85,91,654	Total	67,85,91,654

A copy of the Audited Balance Sheet is enclosed and marked as **Annexure-E.** The Provisional Balance Sheet as at 30.11.2017 is enclosed and marked as **Annexure-E1.**

The Board of Directors of the Petitioner/Transferee Company has approved and adopted the Scheme of Amalgamation of Tayana Digital Private Limited with Jupiter Capital Private Limited at its meeting held on 26th September, 2017. The extract of the Board Resolution is produced herewith as **Annexure-F.**

It is submitted that no investigation proceedings are pending against the Petitioner Company under sections 235 to 251 or any other provisions of the Companies Act, 1956 or sections 206 to 229 of the Companies Act, 2013.

The entire equity share capital of the Transferor Company is held by the Petitioner/Transferee Company and Hindustan Infrastructure Global Investments, Mauritius (HIGI Mauritius). HIGI Mauritius is a wholly owned subsidiary of Hindustan Infrastructure Projects & Engineering Private Limited (HIPE) which in turn is a wholly owned subsidiary of the Transferee Company. Accordingly, pursuant to the amalgamation of Transferor Company with the Petitioner/Transferee Company, no shares to the Transferee Company shall be allotted in respect of its holding in the Transferor Company. Further, HIGI Mauritius being an indirect wholly owned subsidiary of the Petitioner/Transferee Company, no shares to be issued by the Transferee Company to HIGI Mauritius as consideration for merger.

The benefits sought to be achieved by the Amalgamation are as follows:

a. Greater integration, financial strength and flexibility for the amalgamated entity, which would result in maximizing overall shareholder value and will improve the competitive position of the combined entity.
b. Improved organizational capability and leadership, arising from the pooling of resources to compete successfully in an increasingly competitive industry.
c. Greater leverage in operations, planning and process, efficiency in cash management and unfettered access to cash flow generated by the combined business.

d. Cost savings are expected to flow from synergies achieved through joint operational efforts rationalization, standardization and simplification of business process, administration, finance, accounts, legal and other related functions, leading to elimination of duplication and rationalization of administrative expenses.
e. Simplification of group structure.
f. The sanctioning of Amalgamation will be for the benefit of both the Companies.

It is submitted that, the Petitioner/Transferee Company filed Company Application No. CAA 84/BB/2017 before this Hon'ble Tribunal seeking for the dispensing with convening of the Equity Shareholders, Secured Creditors and Unsecured Trade Creditors meeting for approving the Scheme of Amalgamation/ This Hon'ble Tribunal, by its order dated 14th December, 2017 allowed the Company Application based on the written consents given by the Shareholders and Creditors of the Petitioner/Transferee Company was pleased to dispense with the requirement of convening meetings of the Equity Shareholders, Secured Creditors and Unsecured Trade Creditors of Petitioner/Transferee Company. Copy of the order is produced herewith and marked as **Annexure-G.**

It is further averred that, the Petitioner/Transferee Company have filed the Petition bearing C.P (CAA) No. 01/BB/2018 before this Tribunal for sanctioning the Scheme of Amalgamation on 3rd January 2018.

This Hon'ble Tribunal vide Order dated 11th January 2018 has directed to issue Notice to the Regional Director, South-East Region, Ministry of Corporate Affairs, Hyderabad, Registrar of Companies, Karnataka, Bangalore and to the concerned Income Tax Authority and also to have an advertisement of Notice of Petition be carried out in the **'The Hindu'**, an English daily Newspaper and **'Udayavani'**, a Kannada daily Newspaper and both Bengaluru Editions within 10 Days before date of hearing and also stating the next date of hearing of the present petition was on **26th February 2018.**

In pursuant to this, the Counsel for Petitioner/Transferee Company has filed an Affidavit dated 30th January, 2018 of the authorised signatory of the Petitioner/Transferee Company, stating that the notices have been issued on the above authorities and also filed copy of paper publication of **'The Hindu'**, an English daily Newspaper and **'Udayavani'**, a Kannada daily Newspaper on dated 24th January, 2018. The same is shown as Annexure-A1 and A2 respectively, to the affidavit.

The Registrar of Companies, Karnataka has filed an affidavit dated 19.03.2018 on behalf of RD, Ministry of Corporate Affairs, South East Region, Hyderabad, and made the following observations:

1. The Transferee Company is M/s. Jupiter Capital Private Limited, is registered in the State of Karnataka. The Transferor Company M/s. Tayana Digital Private Limited is registered in the State of Maharashtra and hence the scheme may also be subject to the orders of Hon'ble NCLT, Mumbai Bench.
2. The Transferee Company is holding 67.64% equity share capital of the Transferor Company and hence it is a subsidiary Company. Balance 32.35% equity share capital of Transferor Company is held by M/s. Hindustan Infrastructure Global Investments, Mauritius, which is said to be wholly owned subsidiary of HIPE which in turn is a wholly owned subsidiary of Transferee Company; as can be seen from Clause 5 of Part "B" of the Scheme. Hence, no new shares are proposed to be issued.
3. The Transferee Company is a non-deposit accepting NBFC and is registered with RBI. This Directorate by its letter dated 31.01.2018 sought comments of RBI, Hyderabad for which reply dated 14.02.2018 was received mentioning that Transferee Company is registered with RBI, Bangalore and that the Directorate's letter dated 31.01.2018 was forwarded to RBI, Bangalore. Comments from RBI, Bangalore are not received as yet.
4. In Clause 12 of the scheme, the Petitioner Transferee Company has sought complete waiver of the fee and stamp duty payable on account of consolidation of the authorized share capital of the Transferor and Transferee Company which is not acceptable in view of the provisions of Sec. 232(3)(i) of the Companies Act, 2013. The Transferee Company has to pay the differential fee and stamp duty on the increase of authorized capital after setting off the fee if any paid by the Transferor Company.
5. That the ROC, Bangalore reported that Clause 23 of Part B of MOA of the Transferor Company provide for amalgamation with other Company having similar objects viz., Software Development and other related services whereas the Transferee is in the Financial Services business. However, Transferor Company's financial statements for the year ended 30.11.2017 show that it predominantly holds financial assets only and does not appear to be carrying on software development. Hence, no further consideration of this observation may be required.

In response to the observations made by the Regional Director, the Petitioner/Transferee Company has filed Affidavit dated 22.03.2018, giving the following reply to the observations made by the RD, MCA, Hyderabad:

1. The Scheme may be sanctioned subject to the orders of the Hon'ble NCLT, Mumbai Bench.
2. The entire equity share capital of the Transferor Company is held by the Transferee Company and Hindustan Infrastructure Global Investments, Mauritius (HIGI, Mauritius). HIGI Mauritius is a wholly owned subsidiary of Hindustan Infrastructure Projects & Engineering Private Limited (HIPE) which in turn is a wholly owned subsidiary of the Transferee Company. Accordingly, pursuant to the amalgamation of Transferor Company with the Transferee Company, no shares to the Transferee Company shall be allotted in respect of its holding in the Transferor Company. Further, HIGI Mauritius being an indirect wholly owned subsidiary of the Transferee Company, no shares to be issued by the Transferee Company to HIGI Mauritius as consideration for merger. Upon the Scheme becoming effective, the entire share capital of the Transferor Company shall be cancelled and extinguished as per Clause 5 of the Scheme. Except this, no other consideration is payable under the Scheme.
3. The Petitioner/Transferee Company have already sent the notice to RBI, Bangalore. However, the Petitioner has not received any reply in this regard.
4. The Petitioner/Transferee Company undertakes to file the differential stamp duty and differential fee (if any) over the above the stamp duty and ROC fee already paid by the Transferor Company on the authorized share capital.
5. With regard to the ROC's observation, in view of the RD's consideration, there is no need to change the object clause of the Petitioner Company.

The Reserve Bank of India vide their letter No. DNBS BG No. 811/08.04.015/2017-18 dated 15.02.2018 has stated that as follows:

> *"In this connection, we advise that M/s. Jupiter Capital Pvt. Ltd., is an NBFC registered with RBI, Bengaluru. M/s. Tayana Digital Pvt. Ltd., (Transferor Company) is not an NBFC. Since the Transferee Company has admitted that the said amalgamation would not result in any change of Management and operations of Jupiter Capital Pvt. Ltd., it is stated that we have no objection to the proposed amalgamation."*

It is further averred that Counsel for Petitioner has filed Accounting Treatment Certificate certified by the Chartered Accountant pursuant to Clause 10 of the Scheme are in accordance with Section 133 of the Companies Act, 2013. The Certificate of Chartered Accountant M/s. Delloitte Haskins & Sells LLP, Bangalore. A copy of the same is enclosed and marked as **Annexure-H** and has certified as follows:

> *"Based on our examination and according to the information and explanations given to us, we are of the opinion that the accounting treatment contained in Clause 10 of the Scheme, is in compliance with the applicable Accounting Standards notified under Section 133 of the Companies Act, 2013, read with the rules made thereunder, and other Generally Accepted Accounting Principles, as applicable".*

The Petitioner Company respectfully submit that it is an unlisted company and that there are no investigation proceedings pending against the Transferor Company and Transferee Company under the Companies Act, 1956 and Companies Act, 1953.

We have heard the Counsel for the Petitioner, Standing Counsel for ROC and RD and after considering the material on record, the Scheme appears to be reasonable and the same deserves to be approved subject to the compliance of ROC and RD directions.

THIS TRIBUNAL DO FURTHER ORDER

While Approving the Scheme, we make clear that this order should not be construed as an order in any way granting exemption from payment of Stamp Duty, taxes or any other charges, if any, and payment in accordance with law or in respect to any permission/compliance with any other requirement which may be specially required under any law.

The whole of the property, rights and powers of the Transferor Company be transferred without further act or deed to the Petitioner/Transferee Company and accordingly the same shall pursuant to section 232 of the Companies Act, 2013, be transferred to and vest in the Transferee company for all the state and interest of the Petitioner Company therein but subject nevertheless to all the charges now affecting the same; and

All the liabilities including taxes and charges, if any, and duties of the Transferor Companies be transferred without further act or deed to the

Petitioner/Transferee Company and accordingly the same shall pursuant to section 232 of the Companies Act, 2013 be transferred to and become the liabilities and duties of the Petitioner/Transferee company; and

All proceedings now pending by or against the Transferor Company, if any, be continued by or against the Petitioner/Transferee Company; and

In line with Registrar of Companies observation dated 19.03.2018, the Transferee Company has to pay the differential fee and stamp duty on the increase of Authorised Capital after striking off the fee, if any, paid by Transferor Company as also Transferee Company object clause be amended to cover the software development business also.

The tax implications, if any, arising out of the scheme is subject to final decision of concerned Tax Authorities and the decision of the concerned Tax Authorities shall be binding.

To ensure implementation of compliances made in the Affidavit dated 13/03/2018 and 22/03/2018.

The Petitioner/Transferee Company shall within thirty days of the date of the receipt of this order cause a certified copy of this order along with a copy of scheme of Amalgamation to be delivered to the Registrar of Companies for registration in accordance with Rule 25 (7) of Companies (Compromises, Arrangements & Amalgamations) Rules, 2016.

The Scheme shall be effective from the appointed date as mentioned in the Scheme of Amalgamation i.e. 1st April, 2017.

The Transferor Company or its authorised signatory is directed that after the completion of the process of Amalgamation to handover the possession of the books of accounts and other relevant documents of the Transferor Company to the Petitioner/Transferee Company for the purpose of Section 239 of the Companies Act, 2013.

Any person shall be at the liberty to apply to this Tribunal in the above matter for any directions that may be necessary.

This order is subject to the outcome of NCLT, Mumbai Bench, order and compliance of FEMA (Foreign Exchange Management Act) Guidelines.

9/4/18

(ASHOK KUMAR MISHRA)
MEMBER, TECHNICAL

(RATAKONDA MURALI)
MEMBER (JUDICIAL)

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NATIONAL COMPANY LAW TRIBUNAL
BENGALURU BENCH
COURT NO.1

ATTENDANCE CUM ORDER SHEET OF THE HEARING OF NATIONAL COMPANY LAW TRIBUNAL, BENGALURU BENCH, BENGALURU, HELD ON 09.04.2018.

PRESENT: 1. Hon'ble Member(J) **Shri Ratakonda Murali**
2.Hon'ble Member (T) **Dr. Ashok Kumar Mishra**

Case No. (TP/CP/ CA(CAA)/ CP(CAA))	Purpose	Advocates / PCS's name for the Petitioner	Section	Name of the petitioner / company	Name of the respondents/ Company	Advocates / PCS's name for the Respondent
CP(CAA)No.01/BB/2018	For orders	SPJ Legal	230-232	M/s Jupiter Capital Pvt Ltd		

SL. NO.	NAME (IN CAPITAL) & PHONE NUMBER	REPRESENTATION TO WHOM	SIGNATURE

ORDER

Order will be passed vide separate Order

MEMBER (T)

MEMBER(J)